

9708/31/o/n/17

1-D:

A – Transfer of assets from the public sector to the private sector (privatization) will contribute to an inequitable distribution of income

B – Any large firm can achieve economies of scale. It does not necessarily have to be a private sector firm to be able to gain cost advantages in form of a reduction in long-run average cost as a result of growing large in size.

C – Private sector firms will never achieve allocative efficiency that occurs when marginal cost is equal to price.

D – A private sector firm will be incentivized to achieve productive efficiency, or in other words, it will be incentivized to produce any given output at the minimum possible cost. This is because, mostly private sector firms operate with the objective of profit maximization.

2-D:

	2015 \$000	2016 \$000	
SC 2015 ↳ 2500	private costs 2000	2200	SC 2016 ↳ 3100
	external costs 500	900	
SB 2015 ↳ 2500	private benefits 1500	2300	SB 2016 ↳ 3100
	external benefits 1000	800	

* $SC = PC + EC$
* $SB = PB + EB$

A – Between 2015 and 2016, both: social costs and social benefits rose.

B- Between 2015 and 2016, both: social costs and social benefits rose.

C – In 2015, external benefits(1000) exceeded external costs(500), whereas, in 2016, external costs(900) exceeded external benefits(800)

D – This is correct, as can be seen above too, that in both the years, social costs equaled social benefits. Both of them were 2500 in 2015, and both of them were 3100 in 2016.

3-C:

A – Allocation of tickets by ballot represents allocation at random, which would not be favorable.

B – The market for resold tickets would not be more equitable since higher prices are charged in that market.

C – The new allocation of tickets better reflects consumer utility. This is because, the price of tickets in these markets is closely linked with willingness to pay of individuals. **These tickets are priced high because individuals would be willing to pay higher prices to purchase the tickets of these major sporting events.**

D – This is not the case of monopoly exploitation because a monopoly is a firm with a very high market share of atleast 25%, provided that the rest of the firms are sufficiently small.

4-D:

A and B- No, all factors are not increased; only variable factors can change, whereas the fixed factors remain unchanged

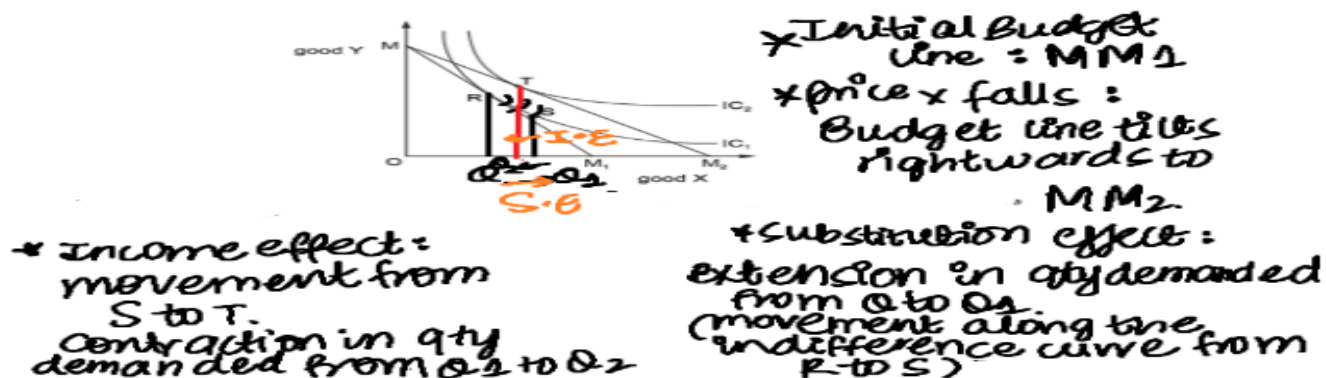
C- As more of the variable factor is added to the fixed factor, when “marginal product of labor rises”, marginal cost falls. This does not explain “law of diminishing returns”; instead, it explains **increasing returns to variable factors.**

D -As more units of labor are employed, there comes a point where the efficiency of labor starts to diminish. The **marginal product of labor begins to decline**, indicating that each additional unit of labor contributes less to the total output, and as a result of which, **total product** increases at a **diminishing rate or decreasing rate.**

The diminishing marginal product of labor is a manifestation of the **Law of Variable Proportions.** It highlights that in the short run, increasing the quantity of labor beyond a certain point will eventually lead to **diminishing returns.** This occurs due to factors such as **limited space, inadequate supervision, or bottlenecks in the production process,** which constrain the efficiency and effectiveness of additional labor.

This is why, key D, becomes correct

5-D:



A – In case of a giffen good, the income effect outweighs the substitution effect, which is not the case here.

B- We cannot deduce whether this good is a luxury good or not , since we do not have information about types of goods.

C – In case of a normal good, income effect and the substitution effect go in the same direction, which is why this is incorrect.

D – It can be seen above that the income effect and the substitution effect are moving in the opposite direction, which means that the good is an “inferior good”. This is why, this is correct.

6-C:

External growth arises as a result of integration, which may involve mergers or acquisitions (takeovers) with other firms. External growth strategies are pursued when a company aims to expand its operations, market presence, or capabilities by joining forces with or acquiring other businesses rather than relying solely on its internal resources and activities. This is why, key C, becomes correct.

7-B:

- ➔ Because of a **100 million dollar advertising campaign**, the demand curve or the Average revenue curve shifts rightwards. And when AR shifts, the Marginal revenue curve will also shift to the right.
- ➔ Because of a rise in fixed costs, total costs will increase, that will result in a rise in Average total costs, causing the curve to shift upwards.
- ➔ Since fixed costs do not change with the level of output, the marginal cost, which represents additions to the total output as a result of producing an additional unit, will not increase(or in other words, it will stay unchanged)

8-C:

A – If a government increases regulations, as a result of which, firms are required to maintain improved conditions in the workplace, this means that the small firms will be discouraged to enter, because of a rise in potential costs

B – If banks adopt more risk-averse lending policies, as a result of which, they are cautious with who to grant loans , which in turn leads to the process of obtaining loans made more difficult , small firms will be discouraged to enter.

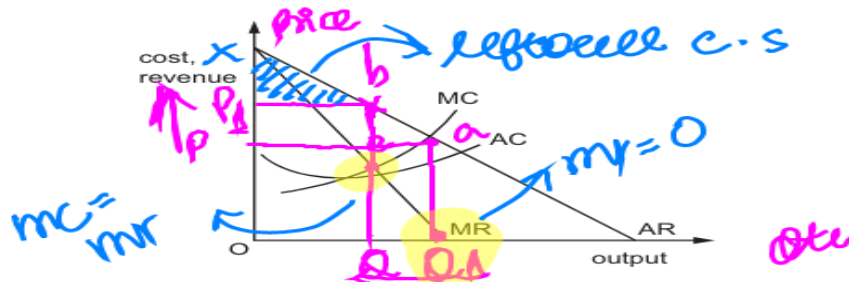
C- If governments introduce certain laws against the growth of monopolies, this will encourage small firms to enter the industry, as they will now not have the threat of being driven out of the market by monopoly firms. This is why, key C, becomes correct.

D – Tougher penalties in the case of personal bankruptcy is again an example of an increase in regulations, which will discourage the entry of new, small firms.

9-D:

This can be seen below that when the objective changes from sales revenue maximization ($MR=0$) to profit-maximizing level of output ($MC=MR$), the price level rises, which subsequently leads to a reduction in consumer surplus. This indicates that consumers will lose.

And in an attempt to maximize profits, firms will compromise over health and safety conditions in an attempt to minimize costs, which indicates that workers will also lose in the short-run.



The firm changes its objective from sales revenue maximisation to profit maximisation.

How will this affect the following groups in the short run?

	customers	workers
A	benefit	benefit
B	benefit	lose
C	lose	benefit
D	lose ✓	lose ✓

10-c:

Collusion is most likely to succeed when firms produce similar products (option A), have similar cost structures (option B) and when there are only a few firms in the industry which indicates that the market power possessed by each firm is high(option D)

However, collusion will be unlikely to succeed when there are low barriers to entry, because in that case, colluding firms will not be able to maintain their market share. This is why, option C, becomes correct.

11-A:

The theory of contestable markets can be applied when there is a potential threat of competition arising from low/weak barriers to entry and exit.

Monopolistically competitive firms have weak barriers to entry, which means that the theory of contestable markets can be applied here.

At times, large firms such as monopoly and oligopoly also face a contestable situation and the potential threat of competition leads to them behaving as if there was actual competition, which subsequently leads to them charging lower prices as part of limit pricing to deter potential competitors from entering.

12-D:

A – The law of diminishing returns has nothing to do with the “price of variable factor” increasing the “production costs”

B - The law of diminishing returns has nothing to do with the “reduction in the quality of variable factor” increasing the “production costs”

C- No, this is incorrect to say that fewer units of the variable factor will be needed to produce equal increases in output.

D - As more units of labor are employed, there comes a point where the efficiency of labor starts to diminish. The **marginal product of labor begins to decline**, indicating that each additional unit of labor contributes less to the total output, and as a result of which, **total product** increases at a **diminishing rate or a decreasing rate**.

The diminishing marginal product of labor is a manifestation of the **Law of Variable Proportions**. It highlights that in the short run, increasing the quantity of labor beyond a certain point will eventually lead to **diminishing returns**. This occurs due to factors such as **limited space, inadequate supervision, or bottlenecks in the production process**, which constrain the efficiency and effectiveness of additional labor. This is why, key D, becomes correct.

13-C:

The Prisoner's Dilemma describes a situation where two parties (in this case, Firm X and its rival) have a choice to cooperate or betray, and the outcome depends on the combination of their actions.

The payoffs in this scenario are:

- If both firms cooperate, they each earn \$2000 (joint profit of \$4000).
- If Firm X cooperates and the rival betrays (undercuts X's price), Firm X earns \$1200 and the rival earns \$2800.
- If Firm X doesn't cooperate and the rival cooperates, Firm X earns \$2800 and the rival earns \$1200.
- If both firms betray, they each earn \$1200.

The Prisoner's Dilemma arises **because this situation is based on the premise that the prisoners are not allowed to communicate with each other, but can rather consider what the other person is likely to choose, which relates to the characteristics of uncertainty in an oligopoly.**

A) Profit maximization occurs at the profit maximizing level of output where $MC=MR$

B) This describes a situation where the manager (the agent) makes decisions on behalf of shareholders (the principal), with conflicting interests. This is because, the managers may choose to operate with the objective of sales revenue maximization as their salaries and bonuses are linked to sales revenues, when the dividend payouts of shareholders are linked to profits.

D) “profit satisficing” aims to earn a minimum, acceptable level of profit that is enough to keep shareholders happy.

14-A:

Maximum Price Legislation:

Maximum price legislation, also known as price ceilings, refers to government regulations that set the maximum price that can be charged for a particular good or service. This means that businesses are not allowed to charge a price higher than the specified maximum price.

Example:

Suppose the government sets a maximum rent of \$1,500 per month for a one-bedroom apartment in a certain area. This means that landlords cannot charge more than \$1,500 per month for a one-bedroom apartment, even if demand is high and they could potentially charge a higher rent.

- A) Because of imposition of maximum price on houses rented from private landlords, the quantity supplied of houses will contract, which is why, this option becomes correct.
- B) The number of unoccupied privately rented houses will not increase over time; instead, there will be resultant shortages in the market.
- C) Since because of cheaper rents, the demand for owner occupied homes falls, their prices fall too.
- D) There will be an effect on the supply of the rental housing since it will contract.

15-B:

- ➔ A **poverty trap** occurs when the withdrawal of benefits as income rises, combined with the payment of income tax, creates a situation where individuals have little incentive to work harder or earn more income. This is because the increase in income is largely offset by the loss of benefits and the payment of taxes, leaving them no better off or even worse off than before.

➔ This can create a trap where individuals are discouraged from seeking higher-paying employment or working additional hours, as they may end up losing more in benefits than they gain in income. As a result, they may remain in a state of poverty or low income, unable to escape the poverty trap.

This is why, option B, becomes correct.

16-D:

A and B: When labor costs are a major proportion of total costs, this represents that the demand for labor employed will be elastic, and so, even a wage increase by a relatively smaller percentage will lead to a contraction in quantity demanded for labor by a relatively higher percentage.

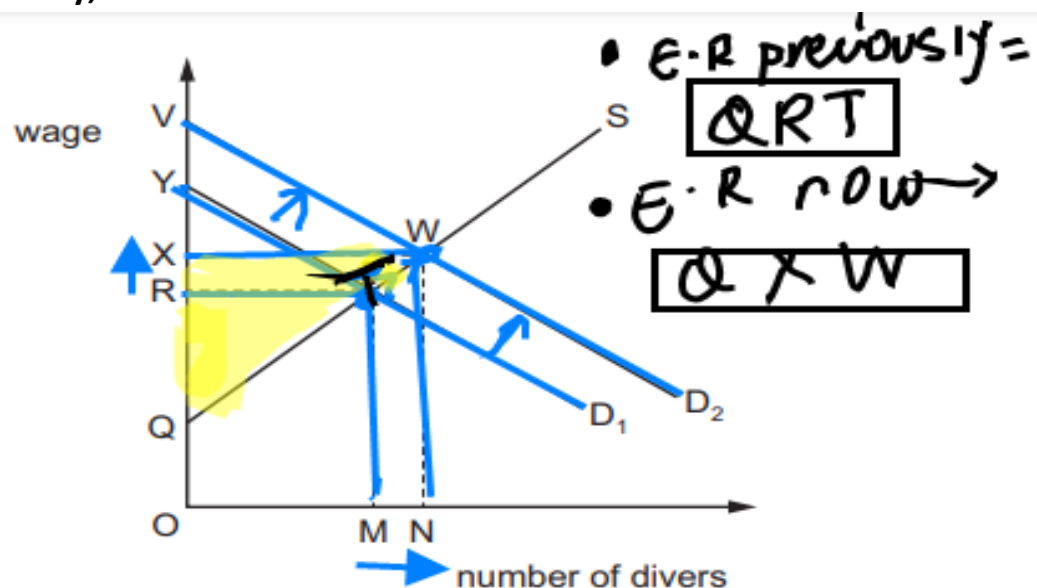
C : If the demand for the good produced is elastic, this represents that firms will be reluctant to grant the claims of an increase in wages proposed by the trade union, because of their inability to pass this cost burden to consumers in form of higher prices.

D : If the demand for good produced by labor is increasing, this will also lead to a rise in the demand for labor (which is a derived demand), as a result of which, not only will there be a rise in wages, but also, there will be an increase in employment.

17-C:

➔ **Economic rent** is shown through the area above the supply curve and below the wage rate.

➔ **A rise in demand for labor will lead to an increase in the wage rate, which will bring about an increase in economic rent earned from QRT to QXW. This is why, this becomes correct.**



18-C:

- A- A decrease in unemployment represents the fact that there will be a higher degree of employment, and since labor force comprises of both: employed and unemployed, the total labor force in this case will remain constant.
- B- A decrease in the retirement age would lead to earlier retirement, reducing the labor force.
- C- **Participation rate represents the proportion of total population who is in the labor force.** An increase in the labor force participation rate refers to a **higher proportion of the population engaging in the labor market, either by working or actively seeking employment.** This can occur due to various factors such as: more women entering the workforce, Increased immigration, and government policies and initiatives to encourage labor market participation

An increase in the participation rate leads to an expansion of the labor force, as more people are now actively engaged in the labor market. This is why, key C, becomes correct.

D - An increase in the school-leaving age would lead to more people staying in education for longer, delaying their entry into the labor market, and potentially reducing the labor force in the short term.

19-A:

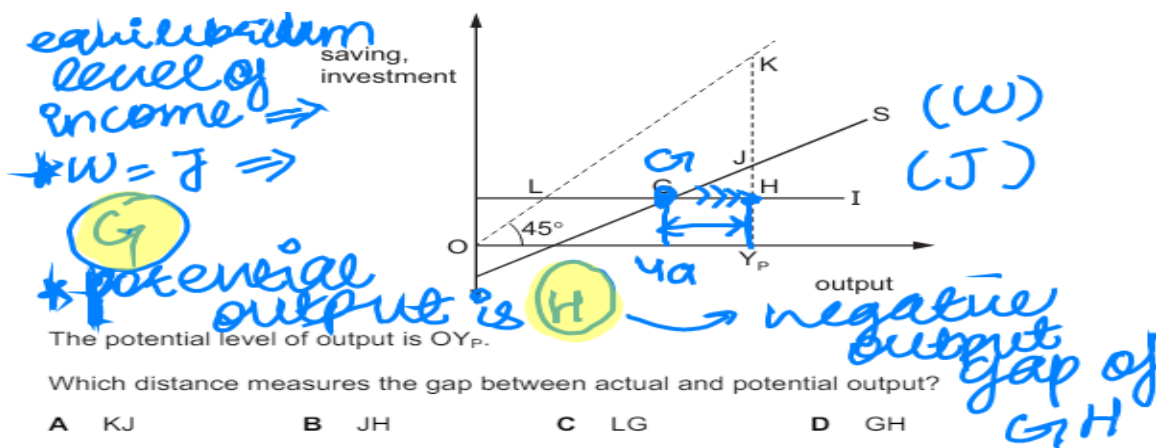
A -Since France had the highest rate of unemployment in both the years, it can be said that it had the lowest rate of employment in both the years.

B – Based on data on unemployment rates alone, we cannot deduce the number of employed or unemployed workers in absolute terms because we are not aware of the labor force in each country.

C – Based on data on unemployment rates alone, we cannot measure labor productivity in these countries.

D - Based on data on unemployment rates alone, we cannot deduce if new jobs were created or not.

20-D:



Output gap measures the distance between actual output and potential output

21-A:

In between year 1 and year 2:

Investment rose by \$100

Government expenditure rose by \$50

Exports rose by \$50.

This represents that although AE rose by 200\$, RNI rose by \$600.

This is because of the value of multiplier of "3" $\rightarrow$ (change in RNI/change in AE) $\rightarrow$ 600/200

22-B:

Although there has been an increase in money incomes by 3%, since prices rose by 4%, this indicates that **real incomes fell by 1%**, and since there has also been a rise in the size of the population by 1%, this represents that **real incomes per head will fall by 2%**.

23-A: A – There is a negative relationship between interest rates and quantity demanded of money. This is because, a rise in interest rate brings about an increase in savings, and a subsequent fall in consumption, because of which the quantity demanded of money for transactionary purposes falls.

B – A rise in national income would further stimulate consumption thereby leading to a rise in demand for money.

C - With higher prices, more money is required to facilitate transactions or in other words purchase the same amount of goods and services, leading to an increase in the demand for money.

D – A rise in wealth will boost consumer confidence, thereby leading to a higher level of consumption and an increase in quantity demanded of money.

24-D: Dividends paid to shareholders, overtime payments, and rent from government-owned houses will be included in the calculation of national income since they are a result of economic activity.

Welfare benefits are transfer payments that are made without goods or services being received in exchange, and since no contribution is made to the gdp because of these, they will not be included in national income calculations.

25-C:

Net injections represent a situation whereby injections are greater than leakages.

- ➔ When government spending is greater than taxation, this indicates that injections are greater than leakages, as a result of which, there will be net injections.
- ➔ When savings are greater than investment, this indicates that leakages are greater than injections, as a result of which, there will be net leakages.
- ➔ When export revenues are greater than import expenditures, this indicates that injections are greater than leakages, as a result of which, there will be net injections.

26-B:

- A- Increased vehicle ownership leads to higher emissions and air pollution.
- B- Higher incomes and education are correlated with lower fertility rates and family size, which can lead to a reduction in population growth and resource consumption, ultimately benefiting the environment, thus making this correct.
- C- Relocation from agricultural to manufacturing employment can lead to industrial pollution.
- D- Accessing previously inaccessible natural resources using improved technology can lead to overexploitation and resource depletion.

27-A:

- A- By allowing local agreements, wages can adjust to reflect local labor market conditions, helping to address labor shortages and unemployment imbalances. **Because of this**, higher wages will be paid in areas with labor shortages, attracting more workers, and lower wages will be paid in areas with high unemployment, encouraging businesses to hire more workers. This explains why option A will be correct.
- B- Granting subsidies to exporting firms will boost Aggregate demand, and there will be a rise in employment in the entire economy. It will not address this imbalance in the labor market.
- C- Increasing welfare payments to the unemployed will increase the overall levels of voluntary unemployment. It will not address this imbalance in the labor market.
- D- Reducing government expenditure and raising taxation as part of contractionary fiscal policy will reduce Aggregate demand, and overall levels of employment will fall. It will not address this imbalance in the labor market.

28-A:

- A - This policy would likely hinder a supply-side stimulus to the economy because limiting working hours can reduce the output produced , and in-order to increase production, firms may have to have to hire more workers, which can also increase labor costs for businesses, potentially leading to higher prices.
- B) An increase in public sector spending can increase Aggregate demand and will support economic growth.
- C) The provision of new training schemes can enhance workforce skills and productivity, thereby leading to an economy experiencing a “supply-side stimulus”
- D) The relaxation of import controls on raw materials can reduce import expenditures and subsequently costs of production of firms. This will boost Aggregate supply, thereby facilitating a supply-side stimulus.

29-B:

- A) Marginal cost refers to the change in production costs when producing one more unit of a good or service.
- C) Marginal product represents the additional output generated by one more unit of a variable input (e.g., labor).
- D) Marginal utility is the change in consumer satisfaction from consuming one more unit of a good or service.

While these concepts are important in economics, they are not directly tied to the effects of reduced interest rates on national income.

B) Reduced interest rates make borrowing cheaper, encouraging investment in capital goods (e.g., new equipment, buildings). When interest rates fall, the MEC increases, making investment more attractive. This is why, key B, is correct.

30-A:

The Laffer curve suggests that as tax rates increase, tax revenue initially grows but eventually declines as higher tax rates discourage economic activity and tax evasion increases. This curve implies that:

- **High tax rates may not generate more revenue for redistribution**
- **Optimal tax rates exist, beyond which revenue declines**

This concept influences the government's ability to use income taxation for redistribution, as excessively high tax rates may not yield the desired revenue

This is why, option A, becomes correct.

